Theory case · Topic 2 · 2 points · 15 min

C11 — A small-launcher start-up reads its generic environment

> *Altair Launch S.L. is developing a rocket for satellites under 200 kg. In its business plan it lists: interest rates have doubled in two years and venture capital is scarcer; the European Union has created a fund to secure independent access to space, and a new national space law sets licensing rules; additive manufacturing has made engine parts much cheaper, while reusable rockets are becoming a key technology; the country trains many aerospace engineers, but public opinion is increasingly worried about space debris and the noise of the launch site.*

Part (a) · 1.25 points

Classify each element into the four groups of factors of the generic environment

Group [Slide 11]	Element of the case	Effect on Altair
Economic	Higher interest rates, less venture capital	Financing becomes harder and costlier
Political-legal	EU fund for independent access to space; national space law and licences	Opportunity (public demand and funding) and a regulatory requirement
Socio-cultural	Many trained engineers (level of education); concern about debris and noise (value system)	Easier hiring; pressure on the launch site and on debris mitigation
Technological	Additive manufacturing; reusable rockets	Cheaper engines; a key technology that may become a must

The course's four groups have no separate environmental factor: the table places the public's concern under the socio-cultural value system (public opinion), while the outside-in view of [Slide 13] also lists the natural environment among the forces around the industry. The PESTEL framework of other books would treat debris and noise as a separate environmental factor (extension).

KEY POINTS

- Economic: interest rates, scarce venture capital.
- Political-legal: EU fund, national space law and licensing.
- Socio-cultural: supply of trained engineers (education), public concern about debris and noise (value system).
- Technological: additive manufacturing (key), reusability (incipient/key).

Part (b) · 0.75 points

Explain the difference between the generic and the specific environment and why Altair needs both

The **generic environment** affects all firms, whatever their industry: the interest rates or the space law hit every company in the country [Slide 11]. The **specific environment** is the environment of the firm's **own industry**: the rivalry among launch providers, entry and exit barriers, substitutes (for example rideshare launches on large rockets), and the relationships with customers and suppliers [Slide 12]. The analysis moves **from the outside in**, from the economy, technology and politics to the industry at the centre [Slide 13]. Altair needs both: the generic factors explain the conditions it cannot change, and the specific ones explain whether it can earn money against its direct competitors.

KEY POINTS

- Generic environment: factors that affect every firm in the country/economy.
- Specific environment: the firm's own industry (rivalry, entry and exit barriers, substitutes, customers, suppliers), analysed with Porter's five forces.
- The analysis moves from the outside in.